

Approval for Issuance of Commercial Papers

Serial No: CP/2025/SL-2
 Days to Maturity: 360 days
 Quantity/Amount: Nu. 180,000,000
 Date of Issue: 31/10/2025

Terms and Conditions (Check List)**1. Maximum Maturity of the Instrument:**

- 1.1: Not more than 90 Days ☐
 1.2: Above 90 Days ☒
 1.3: Up to One year ☐

2. Potential Investors:

- 2.1: Only the Financial Institutions ☐
 2.2: Others (please specify) ☐

3. Additional Requirements:**3.1: The Instrument is backed by:**

- 3.1.1: Deposits/Receivables/Inventories and other qualified assets ☒ (attach the document)

OR

- 3.1.2: Corporate/FIs Guarantee ☐ (attach the document)

3.2: The Instrument is in the denominations of Nu. 100,000/with multiples of...
100,000.....with total face value of Nu. 180,000,000

- 3.3: The CIB clearance obtained ☒ (attach the CIB report)
 3.4: Authorization from the Board obtained ☒ (attach the document)





[Handwritten signature]

CEO OF THE COMPANY (Seal and Sign of Issuer)

Approval Form (Official purpose only)

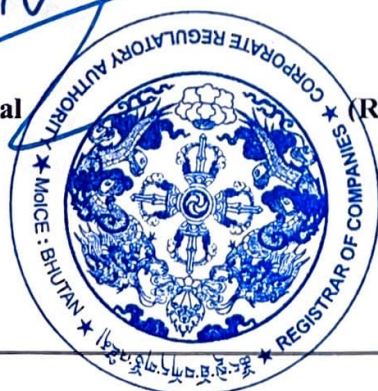
- 1) The MMI Registration No: CP/2025/S2-V
- 2) Name of the issuer: Perfect Steel Private Limited
- 3) Date of Issue: 31/10/2025
- 4) Total face value of Issue: 100,000
- 5) Date of maturity: 09/NOV/2026

Approved

Not approved

[Handwritten signature]

Official Seal



(REGISTRAR OF COMPANIES)

Prospectus for issue of Commercial Paper

The following constitutes full, true and plain disclosure of all material facts relating to the securities offered by this prospectus as required by the Companies Act and in line with the relevant provisions of the Regulatory Authority.

1. General Information:

- a) Name of the company: Perfect Steel Private Limited
- b) Registered Office: YDF Building, Shedra Lam, Phuntsholing, Bhutan
- c) Auditors: M/s Dutta Ghosh & Associates Kolkatta
- d) Bankers: Bank of Bhutan Ltd.
- e) Registration/License Number: 2007106

2. Objective of the Issue: Building finished stock of Sponge Iron & MS Scrap**3. Particulars of offer:**

Issue Price per CP	Number of CPs offered	Subscription Date	Allotment Date	Securities to the issue
Face value Nu.100,000	1,800			Inventories as appendix A Receivables as appendix B Debtors as appendix C

4. Term of the Commercial Paper and Coupon Rate:

Term	Coupon Rate	Payment Amount
360 days	6.5% Per Annum	Nu. 180,000,000.00

5. Maturity Period:

The maturity period of the proposed commercial paper will be for 360 days from the date of allotment as specified above. In event of premature redemption of the CP, the issuer will redeem only the principal amount and the interest accrued till the date of premature redemption subject to payment of 3% penalty.

6. Methods of Allocation:

In lumpsum amount through RSEBL facility (Public Notification mentioning size of issuance, issue date, date of maturity, discount rate, etc.)

7. Use of Fund (Details):

The fund shall be used for Building Finished Goods stock of TMT and purchase of Raw materials.

8. Payment of Coupon

- a. The CP shall be listed with the Stock Exchange for secondary transactions.
- b. The interest amount shall be paid to the investors by A/C payee cheque.
- c. The Central Depository of RSEB shall be the custodian for the debt instrument and facilitate the interest payments.

9. Risk factors (Disclose all the risk associated with the business):

a. Credit Risk/Loan Delinquency Risk:

While there is no credit and loan delinquency risks, adverse market conditions might pose company at risks.

b. Operational Risk:

There might be some operational risks as unforeseen events such as natural disaster, pandemic, Strikes in India.

c. Interest Rate Risk:

At the moment there is no risk pertaining to interest rate, however, change of regulations of the government, would impose interest rate risks.

d. Market/Economy Risk:

There are very few Market / Economic risk as we are having market in India and also in different Countries.

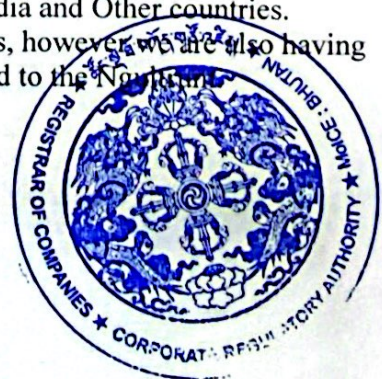
We are the only manufacturer of TMT steel bars which are well received due to niche product we always get premium. However, if there is volatility in the market there can be some risk

e. Currency Risk:

We are manufacturing the products which are being sold in India and Other countries. The fluctuation in the currency may have some highs and lows, however, we are also having the cushion of the Indian Market wherein the Rupees is pegged to the Nepalese Rupee.

10. Present Capital Structure of the Company:

Authorized Capital:	Nu.	1,000,000,000.00
Issued and paid-up capital:	Nu.	690,150,600.00



11. Eligibility of Investors:

Any investor who are interested to invest (Bank of Bhutan, Bhutan National Bank, T-Bank, BDBL, SOEs, NGOs like Religious Foundations, Private individuals, etc.)

12. Financial Highlights for last three years and projected financials (Audited)-tabular format Figure in Million

Sources of Fund	2022	2023	2024	2025 (Projections)	2026 (Projections)	2027 (Projections)
Authorized Capital Shares of Nu. 100/- each)	6200.00	6200.00	6200.00	6200.00	6200.00	6200.00
Issued & Paid-up Capital	690.15	690.15	690.15	690.15	690.15	690.15
Reserves & Surplus	706.95	838.21	990.84	1216.44	1362.42	1471.56
Deposits/Funds/Borrowings	552.15	895.65	817.70	749.70	689.72	627.64
Other Liabilities	743.90	345.00	860.00	920.00	1030.40	1092.66
Total	2693.15	2669.01	3358.69	3576.29	3772.69	3881.61
Application of Fund						
Cash & Deposits	111.33	318.71	230.69	378.29	408.55	446.12
Loans & Advances (Net of Provisions)	37.54	547.30	650.00	950.00	986.30	1070.23
Fixed assets (Net Block)	1398.57	1218.00	1648.00	1048.00	995.60	925.90
Other Assets	1145.51	585.00	830.00	1200.00	1382.24	1439.36
Total	2693.15	2669.01	3358.68	3576.29	3772.69	3881.61
Profit before tax	280.88	131.25	152.63	225.60	248.20	273.60
Profit after tax	107.78	98.44	114.47	169.20	193.60	213.40
Dividend	103.52					

13. Particulars of Present Board of Directors:

Dasho Sonam Tobgay Dorji:
Mr. Karma Dorjee:
Mr. Pema Tenzin:
Mr. Phub Dorji Wang:

Chairman
Vice Chairman
Advisor (Director)
CEO

14. Statutory Dues and Pending Cases

There is no statutory dues and pending cases on the company.



15. Declaration:

We hereby declare that most of the relevant provisions of the Companies Act of Bhutan and the Prudential Regulation 2017 issued by the Royal Monetary Authority and Royal Securities Exchange have been complied with and no statement made in the prospectus contrary to the provisions of companies Act.


Chief Executive Officer

Place – Phuntsholing
Date: October 6th 2025




Director

LSRPL/CEO/2025/1894

Date: 3rd November 2025

Letter of Intent for Commercial Paper

The Chief Executive Officer
Royal Securities Exchange of Bhutan Limited
Thimphu

SUB: Admission of Commercial paper

Dear Sir,

We are pleased to inform you that our company Perfect Steel Pvt. Ltd. has decided to offer the following Commercial Paper as eligible securitie(s) under the Central Depository Rules. We confirm that these instruments will be governed by the terms and conditions indicated in the bilateral agreement entered between Perfect Steel Pvt. Ltd., and the Central Depository of the Royal Securities Exchange of Bhutan. The details of the instrumentare as follows:

Sl. No	Description of the Security	Allotment date	Maturity date
I	PSPL Commercial Paper	14 th November 2025	9 th November 2026

Please find enclosed the duly filled Form. We request you to take necessary steps to induct our security into your Central Depository system and allocate USIN for the same.

Yours faithfully,



Signature

Name & Designation of the Authorized Signatory

Phub Dorji Wang
CEO



1. FILE CREATION FORM FOR COMMERCIAL PAPER

(Kindly ensure that all columns are properly filled. Write "N.A." wherever not applicable).

Full name of the Issuer:

P	E	R	F	E	C	T	-	S	T	E	E	L	-	P
R	I	V	A	T	E	-	L	I	M	I	T	E	D	NA
NA	NA	NA	NA	NA	NA	NA	NA	N.A	N.A	N.A	N.A	N.A	N.A	N.A

Whether the issuer has already signed agreement with the Central Depository for any other instrument?

✓
YES/NO (Tick the relevant option)

2. (Information sought in section A to be provided for the first issue of commercial paper of the ISSUER through Central Depository For the subsequent issues, if there is no change in the information sought in section A, please proceed directly to section B)

Section A

Address of the Regd. Office including telephone, fax nos. and email addresses:

Perfect Steel Pvt. Ltd.
YDF Building, Phuntsholing, Chukha, Bhutan
Tel No: 17115186
Email ID: phubdorjiwang@perfectgroup.bt

Section B

Security Details:

Description of the Security	Issue Date	Redemption Date	Tenure of the security (in days)
LSRPL Commercial Paper Series I	14 th November 2025	9 th November 2026	360 Days

We hereby certify that:

All guidelines issued under the Companies Act, 2016 for the issue of Commercial Paper have been complied with.



We understand that Commercial Paper having the same maturity date will be allotted a single USIN irrespective of the date of allotment.

The information provided above is correct to the best of our knowledge and belief.

Signature:



Date:

Name: Phub Dorji Wang

Stamp of the Issuer:



Designation: CEO

AGREEMENT BETWEEN ROYAL SECURITIES EXCHANGE OF BHUTAN LTD., AND ISSUER

This Agreement is drawn on this 14th day of November 2025, between the ROYAL SECURITIES EXCHANGE OF BHUTAN LTD., having its Registered Office at Norzin Lam, RICBL Building, Post Box # 742, Thimphu (hereinafter, in this agreement called "Central Depository") of the One Part; AND Perfect Steel Pvt. Ltd. having its office/registered office at YDF Building, Phuntsholing, Chukha, Bhutan hereinafter called the "Issuer" of the Other Part. WHEREAS Central Depository has agreed to declare the Issuer's Nu. 180,000,000 (One Hundred Eighty Million) only, (hereinafter called "the said security") as being eligible to be held in Central Depository;

AND WHEREAS the Issuer is desirous of entering into an agreement with Central Depository to facilitate the holding and transfer of securities in Central Depository, which Central Depository has agreed to do; AND WHEREAS the said security has been allotted an USIN No. _____ an Securities Identification Code"

NOW THEREFORE, in consideration of the mutual promises herein contained, the parties hereto do hereby agree and covenant with each other as follows:

1. General Clauses

- 1.1 Words and expressions used but not defined in this Agreement but defined under, The Companies Act 2016, The Financial Services Act 2011, The Depository Regulation, or the Rules of Central Depository shall have the meaning assigned to them under the aforesaid Acts, Regulations or Rules as the case may be.
- 1.2 Unless otherwise warranted by the context or meaning thereof, the words or expressions "Account Holder" and "Issuer" used herein shall mean an Account Holder and Issuer to an issue in relation to Central Depository and the terms "Act", "Regulations", "Rules", and "Operating Instructions" shall mean "The Companies Act 2016, The Financial Services Act 2011, The Depository Regulation, or the Rules of Central Depository and the Operating Instructions / User Manual issued by Central Depository respectively.
- 1.3 The Issuer shall be bound by The Companies Act 2016, The Financial Services Act 2011, The Depository Regulation, or the Rules of Central Depository and agree to abide by the Central Depository Rules and the Operating Instructions / User Manual issued from time to time by Central Depository in the same manner and to the same extent as if the same were set out herein and formed part of this Agreement.



1.4 The Issuer shall continue to be bound by the Central Depository Rules and Operating Instructions / User Manual, even after ceasing to be an Issuer in so far as may be necessary for completion of or compliance with its obligations in respect of all matters, entries or transactions which the Issuer may have carried out, executed, entered into, undertaken or may have been required to do, before ceasing to be an Issuer and which may have remained outstanding, incomplete or pending at the time of its ceasing to be an Issuer.

2. Securities Identification Code

Central Depository shall allocate an USIN and Securities Identification Code to the Issuer (Issuer ID).

3. Connectivity and Communication

The Issuer and Central Depository shall establish and maintain an electronic means of communication with each other.

4. Effective Date of Commencement of Dematerialization

The Securities held by the Central Depository will be in Demat Form from the date of execution of this Agreement.

5. Information/Documents to be Furnished by the Issuer to Central Depository

The Issuer shall, furnish to the Central Depository, a copy of the approval letter from the Registrar of Companies for the registration and permitting commencement of trading in respect of the said security within five business days from the date hereof and in the event of any fresh issue of securities ranked pari passu with the existing security within five business days from the date of issuance of such letter.

6. Details/Particulars to be Furnished by the Central Depository to the Issuer

6.1 The Central Depository shall furnish to the Issuer the details/particulars of Account Holders holding securities in dematerialized form as of record date. Such details/particulars shall be provided by the Central Depository within such time as may be specified in the Operating Instructions / User Manual.

6.2 In addition to the above, the Central Depository may in its discretion provide, as and when required by the Issuer, on payment of such charges as may be specified by the Central Depository, details of Account Holders and any other details or particulars in respect of the said security.



7. Corporate Action / Benefits

- 7.1 The Central Depository undertakes to provide a list of Account Holders with relevant details to the Issuer as of the book closure date/record date or specified date. Central Depository shall indemnify the Issuer for any loss that may be caused to the Issuer by reason of any incorrect or inaccurate information relating to Account Holders and/or their holdings being furnished by the Central Depository to the Issuer.
- 7.2 The Issuer shall, in respect of the said security, provide timely information to the Central Depository about all corporate action including book closure date, record dates, dates of redemption or maturity of securities, details of other corporate action such as merger, amalgamation or reconstruction of the Issuer, reduction of capital, forfeiture, re-issue, and such other information as may be specified by the Central Depository from time to time.
- 7.3 The Issuer shall be responsible for timely intimation of all corporate action to the Central Depository and the accuracy thereof as also for distribution of all corporate benefits. The Issuer shall also be solely responsible for accuracy of advice as to corporate benefits conveyed by the Issuer to the Central Depository. The Issuer shall indemnify the Central Depository for any loss that may be caused to the Central Depository by reason of any incorrect or inaccurate information furnished by the Issuer to the Central Depository.

8. Events Requiring Immediate Intimation by the Issuer to the Central Depository

8.1 The Issuer shall notify the Central Depository forthwith:

- (a) upon a petition for winding-up of the Issuer being presented in any court or a resolution being passed for winding up of the Issuer;
- (b) any scheme being framed for merger, amalgamation or reconstruction of the Issuer;
- (c) on its becoming aware of the presentation of any application or petition for its bankruptcy, insolvency, liquidation or attachment of its property;
- (d) upon its becoming aware of any distress, execution, attachment or other process being threatened or levied



- (e) in case of any change in its financial conditions which may lead to its insolvency or winding-up or if it suffers a composition with its creditors;
- (f) upon convening of any meeting to consider a resolution for the appointment of a liquidator or receiver or administrator in respect of any of its properties or any other change in circumstances which could materially affect the business of the Issuer;
- (g) upon a receiver or administrator being appointed by any court in respect of the assets or properties of the Issuer;
- (h) upon the Issuer becoming aware of any event or occurrence which is reasonably likely to materially affect its commercial viability or existence or its ability to perform its obligations under this Agreement.

9. Confidentiality

- 9.1 The parties hereto shall keep strictly confidential all technical and business information including but not limited to that which may be disclosed or confided to it by the other in the course of the performance of the obligations under this Agreement.
- 9.2 Neither party hereto shall disclose the same to any third party without prior approval of the other party hereto.
- 9.3 Either party hereto shall be at liberty to permit inspection or allow extracts to be made at any time of such details, particulars, data or information relating to any Account Holder and/or his account to such extent and in such manner as may be required by any law in force for the time being and to provide or disclose such details, particulars, data or information relating to any Account Holder and/or his account as may be required or directed by any court, tribunal, the Government, the Authority or any regulatory or revenue authority empowered by law in that behalf or as may be required for compliance with any obligations in law or for enforcement of any of its rights or for protection of its interest without reference or recourse to the other provided however that save and except as mentioned hereinabove, the Issuer shall not divulge or permit or suffer to be disclosed any such details, particulars, data or information relating to any Account Holder and/or his account, to any party or person and shall hold such details, particulars, data and information in strict confidence.

10. Change in Address

The Issuer shall inform the Central Depository of any proposed change in the



address of the Registered Office of the Issuer as also of any change of the location of the premises where the equipment for maintenance of computerized records, backup facilities and communication with the Central Depository are situated, at least fifteen business days before the date of such change.

11. Prohibition Against Assignment

The functions, rights or obligations under this Agreement shall not be assigned or delegated to any party or person (including any Registrar to an Issue and/or Share Transfer Agent) by the Issuer without the express prior written consent of the Central Depository. Any purported assignment or delegation in contravention of the terms of this Agreement shall be null and void.

12. Indemnity

12.1 The Issuer agrees and undertakes to indemnify and keep indemnified and saved harmless Central Depository, its employees or agents from against all claims, demands, penalties, suits, action, litigation, arbitration, prosecution and any proceedings whatsoever and all costs, charges and expenses relating thereto and any harm, loss, damage or injury suffered or incurred by the Central Depository and/or any of its Depository Participants by reason of or as a consequence of the Issuer furnishing any false or incorrect information to the Central Depository or permitting dematerialization of securities in breach of any order, decree, injunction, covenant or law in force or permitting dematerialization of securities on the strength of certificates or documents which are found to be forged, counterfeit, fake or cancelled or in respect of which duplicates / replacements / renewals have been issued or the Issuer otherwise committing any default in observance of its obligations under the Central Depository Rules or Operating Instructions / User Manual or under this Agreement.

12.2 The Central Depository agrees and undertakes to indemnify and keep indemnified and saved harmless the Issuer from and against all harm, loss, damage or injury, claims, demands, suits, actions, litigations, prosecutions and all other proceedings whatsoever and all cost, charges and expenses relating thereto suffered and incurred by the Issuer by reason of or as a consequence of any breach, default or negligence on the part of the Central Depository, its employees or agents in complying with its obligations under the Act, the Regulations, the Central Depository Rules, this Agreement or Operating Instructions / User Manual.

13. Force Majeure etc.

13.1 Notwithstanding anything contained herein or in the Central Depository Rules, neither party hereto shall be liable to indemnify or compensate the



other for any breach, nonperformance or delay in performance of any obligations under this Agreement or for any harm, loss, damage or injury caused to the other due to causes reasonably beyond its control including but not limited to storm, flood, lightning, earthquake, fire, blast, explosion or any other act of God, war, insurrection, embargo or sanction, blockade, civil commotion, labour action or unrest including strike, lock-out or boycott, interruption or failure of any utility service, enemy action, criminal conspiracy, act of terrorism or vandalism, sabotage, unanticipated technological or natural interference or intrusion, loss or damage to any other data communications linkage, loss of connectivity or any other irresistible force or compulsion.

14. Service of Notice

- 14.1 Any notice or communication required to be given under this Agreement shall not be binding unless the same is in writing and shall have been served by delivering the same at the address set out hereinabove against a written acknowledgement of receipt thereof or by sending the same by pre-paid registered post at the aforesaid address or transmitting the same by facsimile transmission, electronic mail or electronic data transfer at the number or address that shall have been previously specified by the party to be notified.
- 14.2 Notice given by personal delivery shall be deemed to be given at the time of delivery.
- 14.3 Notice sent by post in accordance with this clause shall be deemed to be given at the commencement of business of the recipient of the notice on the third business day next following its posting.
- 14.4 Notice sent by facsimile transmission, electronic mail or electronic data transfer shall be deemed to be given at the time of its actual transmission.

15. Severability

If any provision of this Agreement shall be held or adjudged by any competent court, tribunal or regulatory authority to be unlawful, void or unenforceable or if any such provision is rendered void or unenforceable by reason of any statutory amendment, notification or any judicial decision, such provision shall to the extent required to be severed from this Agreement and rendered ineffective as far as possible without modifying the remaining provisions of this Agreement but shall not in any way affect the validity or enforcement of the rest of the provisions of this Agreement which shall continue to apply with full force and effect.



16. No Waiver

Neither party hereto shall be deemed to have waived, abandoned or relinquished any right, power, privilege or remedy available to it under this Agreement or in law except by a writing executed in that behalf and no failure or delay on the part of any of the parties hereto in the exercise of such right, power, privilege or remedy shall operate as a waiver thereof or as a waiver of any preceding or succeeding breach by the other party to this Agreement nor shall any single or any partial exercise of any right, power, privilege or remedy preclude any other or further exercise of such or any other right, power, privilege or remedy available under this Agreement or otherwise available in law or in equity it being agreed that all such rights, powers, privileges and remedies are several and cumulative of each other.

17. Governing Law

This Agreement shall be governed by and construed in accordance with the laws in force in Kingdom of Bhutan.

18. Jurisdiction

The parties hereto agree to submit to the exclusive jurisdiction of the Royal Court of Justice, Kingdom of Bhutan.

19. Headings

The headings in this Agreement are for convenience and reference only and shall in no way affect the construction or interpretation of this Agreement. Unless the context otherwise requires, words denoting the singular shall include the plural and vice versa and any reference to any statute, enactment or legislation or any provision thereof shall include any amendment thereto or any re-enactment thereof.

20. Execution of Agreement

This Agreement is executed in duplicate and a copy each shall be retained by each of the parties hereto.

IN WITNESS WHEREOF the parties hereto have hereunto set and subscribed their respective hands and seals to this Agreement in duplicate on the day, 14th month, November year 2025.

SIGNED AND DELIVERED
by the within named

Central Depository, Royal Securities Exchange of Bhutan



by the hand of its Officer in-charge _____

in the presence of: _____

Name & Address of

Signature

witness: Sonam Tenzin

SIGNED AND DELIVERED

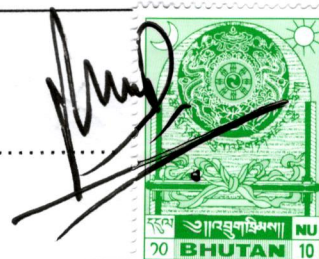
by the within named Issuer

by the hand of its

in the presence of:

Name & Address of witness:

Tshering Tashi, Phuentsholing.



Public Notification for Issuance of Commercial Paper (CP)

Name of Issuer Perfect Steel Pvt. Ltd.

Address YDF Building, Phuntsholing, Chukha, Bhutan

CD Code _____

Issue Amount: Nu. 180,000,000 (One Hundred Eighty Million) only

Maturity Amount: Nu. 180,000,000 (One Hundred Eighty Million) only

Discount Rate %: 6.5%

Issue Date: 14th November 2025

Maturity Date: 9th November 2026

Terms and Conditions

1. Application must be submitted to the RSEB not later than 12.00 noon on the closing date and applications will be irrevocable after submission.
2. Application must be accompanied by payment in full.
3. The RSEB on the advice of the issuer reserves the right to reject any Application or part of any Application and may allot to the applicants less than the full amount of the CP offered.
4. Allotments shall be made on the scheduled date by the RSEB. In the event of partial allotments of Applications, the excess amount paid shall be refunded or transferred by the RSEB to the Applicants bank account number. If no allotment is made, the amount paid will be returned in full in same manner.
5. No allotment shall be made for an amount less than Nu.100,000/- of the Certificate of CP
6. The CP ownership shall be issued in demat form and shall be registered electronically with the Central Depository of the Royal Securities Exchange of Bhutan (RSEB). The CP shall be registered in multiples of Nu.100,000 (One hundred thousand). There will be no individual certificates issued to the applicants. However, the applicants can check their holdings and take statements from the Central Depository.



7. The Central Depository shall provide with the names of the beneficial owners to the issuer at least two working days in advance of the maturity date.
8. The CP shall be registered with the Central Depository upon successful completion of the allotment latest by the following working day along with the list of beneficial owners. Trading in such CP shall cease until the payment date has passed. Such record date will be no more than 2 working days prior to the maturity date.
9. Application forms are available from the RSEB and Issuer.

Perfect Steel Pvt. Ltd.



Seal and Signature of the Issuer



COMMERCIAL PAPER TO CENTRAL DEPOSITORY

“GLOBAL CERTIFICATE”

This is to Certify that the CENTRAL DEPOSITORY, ROYAL SECURITIES EXCHANGE OF BHUTAN is the custodian for 1,800 units of Nu. 100,000 each of Commercial Paper dated 14th November 2025 and maturity date 9th November 2026. The issue of this Commercial Paper is authorized by the Board of Directors of Perfect Steel Pvt. Ltd. and constituted direct and unconditional obligations of the Company.

The Perfect Steel Pvt. Ltd. promises to pay to the registered holders of these Commercial Paper on maturity date 9th November 2026, the principal amount of Ngultrum 180,000,000 (One Hundred Eighty Million) only.

In WITNESS whereof the PSPL has caused this Commercial Paper to signed by the Chairman of the Board of Directors and the Chief Executive Officer of the Company.



CHAIRMAN



CHIEF EXECUTIVE OFFICER

ISSUED at Phuentsholing

dated 3rd November 2025